

Zipline

PRIVATE : ZIPLINE · Private Pre-Valuation (exit-scenario) \$7.6B mkt cap · 117M sh · \$1B cash, zero debt · Series H \$7.6B post-money (Jan/Mar 2026); Secondaries ~\$50/sh — a ~23% discount to the mark

\$50.00

last round mark · Secondary (vs Series H)

THE CENTRAL QUESTION

Is the Series H \$7.6B mark (~\$65/share) defensible against a probability-weighted exit distribution over 3-5 years — and, given secondaries already trade ~23% under the mark at ~\$50, is the discount itself the opportunity?

Zipline runs the world's largest autonomous logistics network — >2M commercial deliveries and >120M autonomous miles by Jan 2026, US volume now exceeding the rest of the world combined and growing ~15%/week for ~7 months. The dominant variable in valuing the equity today is not an operating DCF (revenue is undisclosed, ~\$50M ARR is an estimate) but the exit distribution: an IPO between 2029 and 2030 at \$13-25B is the modal good outcome (PitchBook puts IPO likelihood ~97%; the Series H crossover syndicate — Fidelity, Tiger — is the classic pre-IPO setup). The Walmart anchor plus the Platform 2 droid (precise ~1m home delivery, commercial since Apr 2025) give it a line-of-sight to \$2-4/delivery from ~\$13.50 today. The bear is not erosion but capital intensity meeting unproven scale economics, FAA BVLOS dependency, and heavyweight competition. Probability-weighted PV lands near \$58 — above the ~\$50 secondary, below the ~\$65 mark. The load-bearing input is the discount rate, not the exit valuations. Five exit scenarios, weighted; show your work.

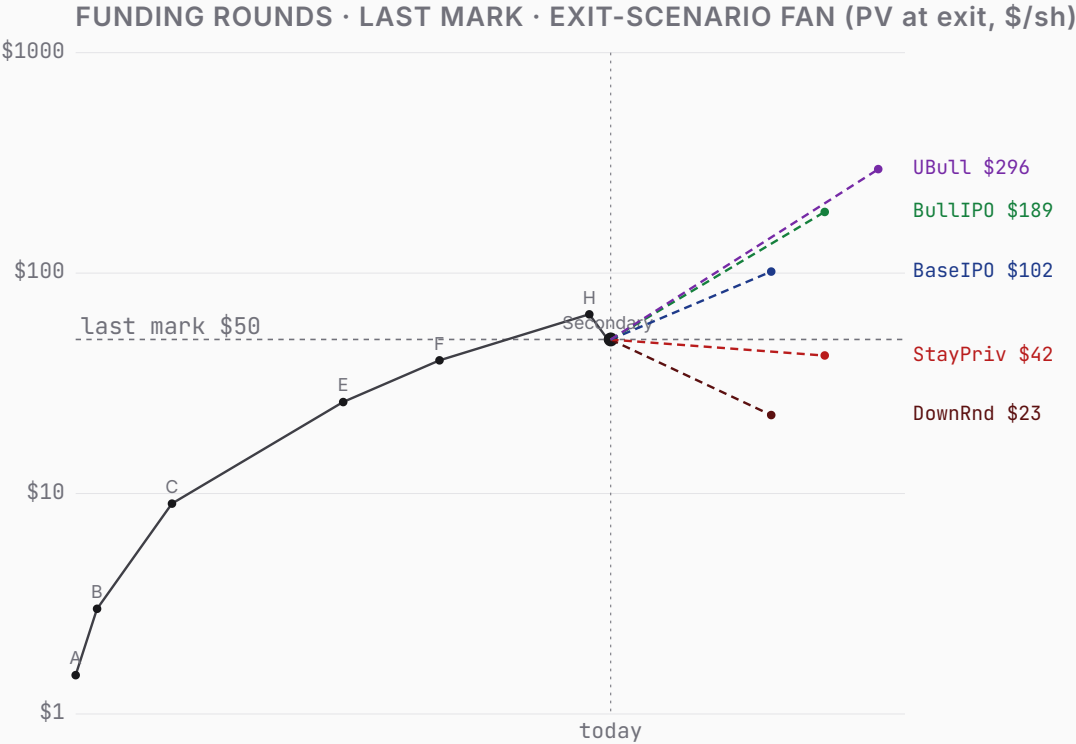
PROBABILITY-WEIGHTED EXPECTED VALUE

\$58.49
expected fair value today
+17.0% vs last mark \$50.00

WEIGHTING RATIONALE

- Down Round 10% Scale economics fail + funding squeeze + BVLOS delay — compound 3-vector tail.
- Stay Private 22% Stripe analog: capital-intensive build stays private, holders illiquid.
- Base IPO 40% Modal: 2029 IPO at ~\$13B, ~1.7× last-round, on US-density inflection.
- Bull IPO 20% Cost curve hits \$2-4, Walmart national, \$25B IPO 2030.
- Ultra Bull 8% Default last-mile layer; \$40B strategic acquisition for the rails.

Bull IPO (20%) + Ultra Bull (8%) contribute \$30 — 51% of the \$58 weighted PV despite 28% combined probability. The last round mark (\$50) sits 15% below the weighted PV, so secondary buyers paying through the mark are roughly justified. The venture discount rate is the load-bearing input — see Page 4 sensitivity.



DOWN ROUND	\$10.78	STAY PRIVATE	\$18.14	BASE IPO	\$58.80	BULL IPO	\$97.69	ULTRA BULL	\$129.52
	-78.4% vs spot		-63.7% vs spot		+17.6% vs spot		+95.4% vs spot		+159.0% vs spot
Exit \$3B Yrs 3.0 WACC 25% Prob 10%		Exit \$6B Yrs 4.0 WACC 22% Prob 22%		Exit \$13B Yrs 3.0 WACC 20% Prob 40%		Exit \$25B Yrs 4.0 WACC 18% Prob 20%		Exit \$40B Yrs 5.0 WACC 18% Prob 8%	
Scale economics fail; down-round.		Stays private 4y+; no liquidity.		2029 IPO at \$13B; ~1.7× secondary.		2030 IPO at \$25B; network compounds.		Default delivery layer; \$40B acquisition.	



Zipline scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 10% Bear 22% Base 40% Bull 20% Ultra Bull 8% · Weighted expected \$58.49 (+17.0% vs spot)

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Probability 10%

Scale economics fail; down-round.

WHY 10%

Cost-curve failure + a capital-market squeeze + BVLOS delay is a compound 3-vector event. Each individually 20-35% over three years; joint at ~10%. The dominant risk for a pre-profit hardware-logistics network is that scale economies never arrive before the cash does — one binary, not slow erosion. The live >2M-delivery base and net-cash balance sheet keep this off the modal path.

WHAT HAPPENS

Unit economics stall above ~\$13/delivery — the droid fleet doesn't hit the density that drives cost toward \$2-4, and a capital-intensive build (~\$1.8B raised) collides with a tighter funding market. FAA BVLOS rule-making slows the US expansion; Walmart caps the rollout at a handful of metros rather than five states. Alphabet Wing and Amazon Prime Air undercut on subsidized economics. A planned 2029 listing is pulled; a bridge round prices below the Series H mark, triggering dilution and a quiet strategic sale.

At the resulting \$3B post-money, common-equity per share falls to ~\$22.7 nominal — discounted three years at a 25% venture-WACC (illiquidity + execution + dilution), and after a 15% within-scenario write-to-zero probability, expected PV is ~\$10.8/share, roughly a fifth of the secondary.

Probability 22%

Stays private 4y+; no liquidity.

WHY 22%

Stripe is the analog: a high mark and no IPO years on. A capital-intensive network can keep raising from crossover funds without a listing if the window stays shut. Plausible over 4 years but not over 5+; eventually holders demand liquidity and the ~97% IPO-likelihood read reasserts. 22% reflects the real chance the build simply takes longer than the market window allows.

WHAT HAPPENS

The "stays private" path. Zipline raises one or two more growth rounds at marks that grow modestly — a Series I around \$5.5B by 2030 — but no IPO appears credible (a depressed listing window, BVLOS scale-up taking longer than planned, or a decision that public-market quarterly pressure conflicts with the long build-out). Secondaries create episodic liquidity at steep discounts to the mark.

The network is real — deliveries compound and the droid scales — but without an IPO catalyst the holder faces ~4 years of illiquidity and dilution. PV at a 22% venture discount: ~\$19, below both the secondary and the mark even as the nominal round price grows. This is the underappreciated outcome for a capital-intensive private.

Probability 40%

2029 IPO at \$13B; ~1.7x secondary.

WHY 40%

Modal outcome. Conditions: US delivery growth holds through 2027-2028; the droid economics trend toward target; the FAA BVLOS framework matures; the logistics-IPO window opens. Each individually ~65-80%; joint ~40%. 40% reflects that this IS the base case but the US-density ramp and BVLOS timing could push it into stay_private or pull it toward the bull.

WHAT HAPPENS

Zipline IPOs in 2029 on the back of a US-density inflection — Walmart scaling past DFW and Atlanta into Houston, Phoenix, and five states, the State Dept partnership tripling African healthcare facilities, and the Platform 2 droid proving precise home delivery at volume. Lead underwriters anchor a \$13B post-money — roughly 1.7x the Series H valuation — reflecting delivery growth, the largest live autonomous network, and a re-opened logistics-tech IPO window.

Per-share at IPO ≈ \$101.6 nominal. PV back to today at a 20% venture-WACC over ~3 years = ~\$58.8 — above the ~\$50 secondary and near the ~\$65 mark. That is why secondary buyers paying ~\$50 capture the discount: the modal good outcome already clears the entry price.

Probability 20%

2030 IPO at \$25B; network compounds.

WHY 20%

Requires conjunction: the cost curve reaches \$2-4; Walmart scales nationally; the droid sustains precise home delivery at volume; the 2030 IPO window receives the cohort favorably. Each 40-55% individually; joint ~20%. Higher floor than a typical young-company bull because the network and anchor customer already exist.

WHAT HAPPENS

Zipline's network advantage consolidates. The droid drives delivery cost to the low end of the \$2-4 range, Walmart goes national, Chipotle/Sweetgreen and the health systems (Cleveland Clinic, Mayo, Advocate, Intermountain) deepen, and the seven-country footprint compounds. The business looks like a logistics platform with software-like unit economics rather than a drone start-up. A 2030 IPO at \$25B reflects scaled volume and multiple expansion.

Per-share at IPO ≈ \$189.4 nominal; PV at 18% over 4 years = ~\$97.7. A ~2x outcome on the secondary — material upside that justifies paying through the discount today.

Probability 8%

Default delivery layer; \$40B acquisition.

WHY 8%

Tail of tails. Each Bull condition AND the cost curve clearing decisively AND a multi-year regulatory/safety moat that makes the network the category default AND a strategic acquirer willing to pay for the rails. 5-10% feels right; 8% acknowledges the real BVLOS head start without over-weighting the tail.

WHAT HAPPENS

The genuine tail. Zipline becomes the default autonomous last-mile layer — the droid network is to delivery what a utility is to power. Walmart, the QSR partners, and health systems route a structural share of last-mile through it; the seven-country base compounds and new geographies open. A strategic acquirer (a retailer, a logistics incumbent, or a cloud/autonomy platform) pays \$40B in 2031 to own the rails rather than rebuild them.

Per-share ≈ \$296.3 nominal; PV at 18% over 5 years = ~\$129.5 — a ~2.6x outcome on the secondary. Contributes an outsized slice of weighted value despite only 8% probability — compound-conditional-tail behavior.

Zipline business snapshot

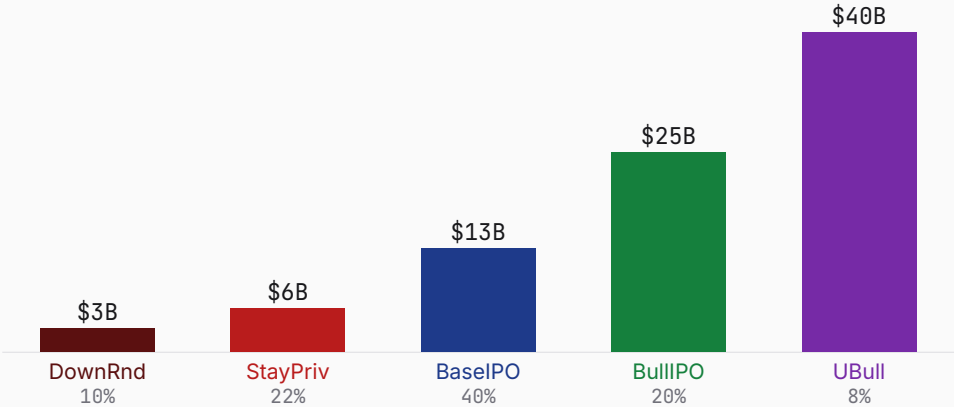
Bear \$18.14 Base \$58.80 Bull \$97.69

Funding-round history + exit-scenario distribution · no operating-business DCF (revenue undisclosed) · discount rate is the load-bearing input

ARR build to scenario exit (run-rate \$B, est.)



Exit valuation distribution (post-money \$B)



Sources: PitchBook, Forge, Nasdaq Private Market, TechCrunch, Bloomberg, Zipline blog, Walmart/State Dept announcements.

Zipline 7 Powers · the moat, scored

Bear \$18.14 Base \$58.80 Bull \$97.69

Arena. Autonomous drone logistics — Zipline vs Alphabet Wing, Amazon Prime Air, DoorDash/Flytrex, and Matternet/UPS Flight Forward; the race to own scaled, certified, low-cost last-mile delivery.

POWER ORIENTATION
origination window: open

POWER ORIENTATION · 7 POWERS

Scale Economies 	Fleet + network density amortize fixed autonomy/ops cost; the largest live network by volume.
Network Economies 	Hub density compounds — more sites per metro lowers cost and widens coverage.
Counter-Positioning 	Full-stack autonomy vs incumbent van logistics; hard for asset-heavy delivery to copy.
Switching Costs 	Integrated into Walmart and health-system operations and SKUs; rip-out cost rises with depth.
Branding 	Trusted healthcare + retail delivery brand across seven countries.
Cornered Resource · thesis leans here 	Years of certified BVLOS ops + the largest live autonomous network — not quickly replicable.
Process Power 	Autonomy stack + droid precision engineering refined over >120M miles.

COMPETITIVE READ

Zipline is originating a real cornered-resource position — the largest live, certified, multi-country autonomous network and a refined autonomy/droid stack — anchored by Walmart and scaling US density; it lags Alphabet and Amazon on balance-sheet and distribution scale, so the window is open while the frontier moves — whether Wing or Prime Air closes the certified-volume gap is the falsifier.

THE RACE · NAMED RIVALS

Alphabet Wing	Alphabet balance sheet
~18% terminal share · ~350k deliveries vs Zipline's >2M; Alphabet balance sheet + distribution.	
Amazon Prime Air	Amazon balance sheet
~20% terminal share · MK30 drone + Amazon logistics scale; slow to certify at volume.	
DoorDash / Flytrex	\$ billions
~10% terminal share · Restaurant/retail delivery network adding drones via Flytrex.	
Matternet / UPS Flight Forward	UPS balance sheet
~7% terminal share · Healthcare/B2B drone routes; narrower consumer footprint.	

LEAD / LAG · FALSIFIERS

Delivery volume / autonomous miles	>2M / >120M vs ~350k	LEADING
Certified BVLOS operating base	7 countries, multi-year vs limited	LEADING
Balance-sheet / distribution scale	~\$1B cash vs far larger	LAGGING

Zipline show your work

Bear \$18.14 Base \$58.80 Bull \$97.69 · Weighted \$58.49 (+17.0%)

DOWN ROUND				\$10.78	STAY PRIVATE				\$18.14	BASE IPO				\$58.80	BULL IPO				\$97.69	ULTRA BULL				\$129.52
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
Exit kind				down round	Exit kind				stay private	Exit kind				ipo	Exit kind				ipo	Exit kind				acquisition
Exit year				2029	Exit year				2030	Exit year				2029	Exit year				2030	Exit year				2031
Exit post-money				\$3B	Exit post-money				\$6B	Exit post-money				\$13B	Exit post-money				\$25B	Exit post-money				\$40B
Per-share at exit (\$)				22.7	Per-share at exit (\$)				42.3	Per-share at exit (\$)				101.6	Per-share at exit (\$)				189.4	Per-share at exit (\$)				296.3
Years to exit				3.0	Years to exit				4.0	Years to exit				3.0	Years to exit				4.0	Years to exit				5.0
Venture WACC (%)				25	Venture WACC (%)				22	Venture WACC (%)				20	Venture WACC (%)				18	Venture WACC (%)				18
Dilution to exit (%)				+13	Dilution to exit (%)				+11	Dilution to exit (%)				+9	Dilution to exit (%)				+13	Dilution to exit (%)				+15
P(total loss) (%)				15	P(total loss) (%)				5	P(total loss) (%)				0	P(total loss) (%)				0	P(total loss) (%)				0
Scenario probability (%)				10	Scenario probability (%)				22	Scenario probability (%)				40	Scenario probability (%)				20	Scenario probability (%)				8
EXIT → PV PER SHARE					EXIT → PV PER SHARE					EXIT → PV PER SHARE					EXIT → PV PER SHARE					EXIT → PV PER SHARE				
Per-share at exit (nominal)				\$22.7	Per-share at exit (nominal)				\$42.3	Per-share at exit (nominal)				\$101.6	Per-share at exit (nominal)				\$189.4	Per-share at exit (nominal)				\$296.3
÷ (1+25%)^3.0				\$11.62	÷ (1+22%)^4.0				\$19.09	÷ (1+20%)^3.0				\$58.80	÷ (1+18%)^4.0				\$97.69	÷ (1+18%)^5.0				\$129.52
× (1−P_loss 15%)					× (1−P_loss 5%)					= Expected PV per share				\$58.80	= Expected PV per share				\$97.69	= Expected PV per share				\$129.52
PV SENSITIVITY TO DISCOUNT RATE					PV SENSITIVITY TO DISCOUNT RATE					PV SENSITIVITY TO DISCOUNT RATE					PV SENSITIVITY TO DISCOUNT RATE					PV SENSITIVITY TO DISCOUNT RATE				
15%		18%		22%		25%		15%		18%		22%		25%		15%		18%		22%		25%		
\$13		\$12		\$11		\$10		\$23		\$21		\$18		\$16		\$67		\$62		\$56		\$52		
																\$108		\$98		\$85		\$78		
																		\$147		\$130		\$110		

Zipline supporting analysis · disclaimers · glossary

Bear \$18.14 Base \$58.80 Bull \$97.69

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

Largest autonomous network by a wide margin.
>2M deliveries and >120M miles dwarf Wing's ~350k — a multi-year safety and regulatory head start rivals can't buy.
- 2

Walmart anchor plus a national runway.
30-min delivery live across ~17 DFW cities + Atlanta, expanding to Houston, Phoenix, and five states — a named scaling customer.
- 3

Platform 2 droid solves precise home delivery.
VTOL-to-fixed-wing lowering a tethered droid into a ~1m circle (≤8 lb, ~10-mi radius) — the unlock for dense home routes since Apr 2025.
- 4

Line-of-sight to \$2-4/delivery.
~\$13.50 today; droid density targets \$2-4 at scale (est.) — Chipotle delivery cost reportedly down 30-40%.

FALSIFICATION TRIGGERS

Bear validation Delivery cost stalls above ~\$10 · Walmart caps the rollout · FAA BVLOS rule-making slips materially	Bull validation ARR crosses ~\$100M (est. target) · a confidential S-1 surfaces · Walmart goes national or droid cost reaches \$2-4	Reframe needed A capability/economics miss that forces a down-round — the 'stay private' or down-round path becomes modal, inverting the discount-rate logic and depressing PV.
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

BVLOS — Beyond Visual Line of Sight — FAA authorization to fly drones past an operator's view. The regulatory gate for scaling autonomous delivery; Zipline holds multi-year operating approvals.	Platform 2 (droid) — Zipline's home-delivery aircraft (commercial since Apr 2025) — VTOL-to-fixed-wing that lowers a tethered, self-steering droid to place a package in a ~1m circle (≤8 lb, ~10-mi radius).	Last-round mark — Per-share value implied by the latest round (post-money ÷ fully-diluted). A preferred, illiquid, single-counterparty price — not a market quote.
Secondary mark — Per-share price in secondary transactions (Forge / Nasdaq Private Market) between existing holders and buyers — here ~23% below the Series H primary mark.	Venture-WACC — The discount rate applied to a future private/IPO exit — bundles illiquidity, execution risk, and dilution overhang. The load-bearing editorial input.	Cornered resource — A 7-Powers source — preferential access to a coveted asset. Here, the live, certified, multi-country autonomous network rivals cannot replicate quickly.